

Presentation ↴

274 Personal Financial Statements

274 Personal Financial Statements

10 Overall

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

274-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	274-10-50-2	Amended	Accounting Standards Update No. 2016-02	02/25/2016
	274-10-55-11	Amended	Accounting Standards Update No. 2015-10	06/12/2015
	274-10-65-1	Added	Accounting Standards Update No. 2015-10	06/12/2015

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

274-10-05-1 This Subtopic addresses personal financial statements. Personal financial statements are prepared for individuals either to formally organize and plan their financial affairs in general or for specific purposes, such as obtaining of credit, income tax planning, retirement planning, gift and estate planning, or public disclosure of their financial affairs. Users of personal financial statements rely on them in determining whether to grant credit, in assessing the financial activities of individuals, in assessing the financial affairs of public officials and candidates for public office, and for similar purposes.

> Basis of Presentation of Personal Financial Statements

274-10-05-2 The primary focus of personal financial statements is a person's assets and liabilities, and the primary users of personal financial statements normally consider estimated current value information to be more relevant for their decisions than historical cost information. Lenders require estimated current value information to assess collateral, and most personal loan applications require estimated current value information. Estimated current values are required for estate, gift, and income tax planning, and estimated current value information about assets is often required in federal and state filings of candidates for public office.

274-10-05-3 This Subtopic provides guidance on how the estimated current values of assets and the estimated current amounts of liabilities are determined and applied in the preparation and presentation of personal financial statements.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Entities

274-10-15-1 The guidance in this Subtopic applies to the following entities:

- a. All individuals
- b. All groups of related individuals (families).

> Other Considerations

274-10-15-2 Generally accepted accounting principles other than those discussed in this Subtopic may apply to personal financial statements. For example, Topic 450 provides guidance on accounting for contingencies and Topic 850 provides guidance on related-party disclosures.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Estimated Current Value

For an asset, the amount at which the item could be exchanged between a buyer and seller, each of whom is well informed and willing, and neither of whom is compelled to buy or sell.

Net Worth

The difference between total assets and total liabilities, after deducting estimated income taxes on the differences between the estimated current values of assets and the estimated current amounts of liabilities and their tax bases.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> The Methods of Presentation

274-10-25-1 Assets and liabilities shall be recognized on the accrual basis of accounting.

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

274-10-35-1 Personal financial statements shall present assets at their estimated current values and liabilities at their estimated current amounts at the date of the financial statements.

274-10-35-2 Paragraph 274-10-25-1 states that assets and liabilities shall be recognized on the accrual basis of accounting.

274-10-35-3 The methods used to determine the estimated current values of assets and the estimated current amounts of liabilities shall be followed consistently from period to period unless the facts and circumstances dictate a change to different methods.

> Assets

· > Receivables

274-10-35-4 Personal financial statements shall present receivables at the discounted amounts of cash the person estimates will be collected, using appropriate interest rates at the date of the financial statements.

· > Marketable Securities

274-10-35-5 Marketable securities include both debt and equity securities for which market quotations are available. The estimated current values of such securities are their quoted market prices. The estimated current values of securities traded on securities exchanges are the closing prices of the securities on the date of the financial statements (valuation date) if the securities were traded on that date. If the securities were not traded on that date but published bid and asked prices are available, the estimated current values of the securities shall be within the range of those prices.

· > Over-the-Counter Securities

274-10-35-6 For securities traded in the over-the-counter market, quotations of bid and asked prices are available from several sources, including the financial press, various quotation publications and financial reporting services, and individual broker-dealers. For those securities, the mean of the bid prices, of the bid and asked prices, or of the prices of a representative selection of broker-dealers quoting the securities may be used as the estimated current values.

274-10-35-7 An investor may hold a large block of the equity securities of an entity. A large block of stock might not be salable at the price at which a small number of shares were recently sold or quoted. Further, a large noncontrolling interest may be difficult to sell despite isolated sales of a small number of shares. However, a controlling interest may be proportionately more valuable than noncontrolling interests that were sold. Consideration of those factors may require adjustments to the price at which the security

recently sold. Moreover, restrictions on the transfer of a security may also suggest the need to adjust the recent market price in determining the estimated current value.

· > Options

274-10-35-8 If published prices of options are unavailable, their estimated current values shall be determined on the basis of the values of the assets subject to option, considering such factors as the exercise prices and length of the option periods.

· > Life Insurance

274-10-35-9 The estimated current value of an investment in life insurance is the cash value of the policy less the amount of any loans against it.

· > Intangible Assets

274-10-35-10 Intangible assets shall be presented at the discounted amounts of projected cash receipts and payments arising from the planned use or sale of the assets if both the amounts and timing can be reasonably estimated. For example, a record of receipts under a royalty agreement may provide sufficient information to determine its estimated current value. The cost of a purchased intangible shall be used if no other information is available.

· > Future Interests and Similar Assets

274-10-35-11 Nonforfeitable rights to receive future sums that have all the following characteristics shall be presented as assets at their discounted amounts:

- The rights are for fixed or determinable amounts.
- The rights are not contingent on the holder's life expectancy or the occurrence of a particular event, such as disability or death.
- The rights do not require future performance of service by the holder.

Paragraph 274-10-55-7 identifies nonforfeitable rights that may have the preceding characteristics.

> Liabilities

· > Payables and Other Liabilities

274-10-35-12 Personal financial statements shall present payables and other liabilities at the discounted amounts of cash to be paid. The discount rate shall be the rate implicit in the transaction in which the debt was incurred. If, however, the debtor is able to discharge the debt currently at a lower amount, the debt shall be presented at the lower amount.

· > Noncancellable Commitments

274-10-35-13 Noncancellable commitments to pay future sums that have all the following characteristics shall be presented as liabilities at their discounted amounts:

- The commitments are for fixed or determinable amounts.
- The commitments are not contingent on others' life expectancies or the occurrence of a particular event, such as disability or death.
- The commitments do not require future performance of service by others.

Noncancellable commitments that may have the preceding characteristics include fixed amounts of alimony for a definite future period and charitable pledges.

· > Income Taxes Payable

274-10-35-14 The liability for income taxes payable shall include unpaid income taxes for completed tax years and an estimated amount for income taxes accrued for the elapsed portion of the current tax year to the date of the financial statements. That estimate shall be based on the relationship of taxable income earned to date to total estimated taxable income for the year, net of taxes withheld or paid with estimated income tax returns.

· > Certain Estimated Income Taxes

274-10-35-15 A provision shall be made for estimated income taxes on the differences between the estimated current values of assets and the estimated current amounts of liabilities and their tax bases, including consideration of negative tax bases of tax shelters, if any. The provision shall be computed as if the estimated current values of all assets had been realized and the estimated current amounts of all liabilities had been liquidated on the statement date, using applicable income tax laws and regulations, considering recapture provisions and available carryovers. For related implementation guidance, see paragraph 274-10-55-1.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

274-10-45-1 Paragraph 274-10-35-1 states that personal financial statements shall present assets at their estimated current values and liabilities at their estimated current amounts at the date of the financial statements.

274-10-45-2 This Subtopic does not prohibit supplemental presentation of historical cost information.

> Reporting Entity

274-10-45-3 Personal financial statements may be prepared for any of the following:

- An individual
- A husband and wife
- A family.

> Form of Statements

274-10-45-4

Personal financial statements consist of all of the following:

- a. A statement of financial condition. A statement of financial condition is the basic personal financial statement and shall present all of the following:
 1. Estimated current values of assets
 2. Estimated current amounts of liabilities
 3. Estimated income taxes on the differences between the estimated current values of assets and the estimated current amounts of liabilities and their tax bases
 4. Net worth at a specified date.
- b. A statement of changes in net worth. The presentation of a statement of changes in net worth is optional. A statement of changes in net worth shall present all of the following:
 1. Major sources of increases in net worth, including any of the following:
 - i. Income
 - ii. Increases in the estimated current values of assets
 - iii. Decreases in the estimated current amounts of liabilities
 - iv. Decreases in estimated income taxes on the differences between the estimated current values of assets and the estimated current amounts of liabilities and their tax bases.
 2. Major sources of decreases in net worth, including any of the following:
 - i. Expenses
 - ii. Decreases in the estimated current values of assets
 - iii. Increases in the estimated current amounts of liabilities
 - iv. Increases in estimated income taxes on the differences between the estimated current values of assets and the estimated current amounts of liabilities and their tax bases.

Example 1 (paragraph 274-10-55-8) illustrates financial statements prepared based on the guidance in this Subtopic.

274-10-45-5

The presentation of comparative financial statements of the current period and one or more prior periods may sometimes be desirable. Such a presentation is more informative than the presentation of financial statements for only one period. The presentation of comparative financial statements is optional.

> Methods of Presentation

274-10-45-6

Paragraph 274-10-25-1 states that assets and liabilities shall be recognized on the accrual basis of accounting.

274-10-45-7

Assets and liabilities shall be presented by order of liquidity and maturity, without classification as current and noncurrent.

- 274-10-45-8** If personal financial statements are prepared for one of a group of joint owners of assets, the statements shall include only the person's interest as a beneficial owner, as determined under the property laws of the state having jurisdiction. If property is held in joint tenancy, as community property, or through a similar joint ownership arrangement, the legal status of the separate equities of the parties may not be evident. In that case, the person may require legal advice to determine whether an interest in the property shall be included among the person's assets and, if so, the proper allocation of the equity in the property under the applicable state laws.
- 274-10-45-9** Business interests that constitute a large part of a person's total assets shall be shown separately from other investments. The estimated current value of an investment in a separate entity, such as a closely held corporation, a partnership, or a sole proprietorship, shall be shown in one amount as an investment if the entity is marketable as a going concern. Assets and liabilities of the separate entity shall not be combined with similar personal items.
- 274-10-45-10** The estimated current values of assets and the estimated current amounts of liabilities of limited business activities not conducted in a separate business entity, such as an investment in real estate and a related mortgage, shall be presented as separate amounts, particularly if a large portion of the liabilities may be satisfied with funds from sources unrelated to the investment.

> Closely Held Businesses

- 274-10-45-11** The net investment in a business entity (not its assets and liabilities) shall be presented in the statement of financial condition. The net investment shall be presented at its estimated current value at the date of the financial statement.

> Certain Estimated Income Taxes

- 274-10-45-12** Estimated income taxes shall be presented between liabilities and net worth in the statement of financial condition.

> Adequate Disclosure

- 274-10-45-13** Personal financial statements shall include sufficient disclosures to make the statements adequately informative. The disclosures may be made in the body of the financial statements or in the notes to financial statements.

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

274-10-50-1 Paragraph 274-10-45-13 states that personal financial statements shall include sufficient disclosures to make the statements adequately informative. That paragraph states that the disclosures may be made in the body of the financial statements or in the notes to financial statements.

274-10-50-2 Personal financial statements disclosures shall include, but are not limited to, all of the following:

- a. A clear indication of the individuals covered by the financial statements
- b. That assets are presented at their estimated current values and liabilities are presented at their estimated current amounts
- c. Either of the following:
 1. The methods used in determining the estimated current values of major assets and the estimated current amounts of major liabilities
 2. The methods used in determining the major categories of assets and liabilities.
- d. Changes in item (c) methods from one period to the next
- e. If assets held jointly by the person and by others are included in the statements, the nature of the joint ownership
- f. If the person's investment portfolio is material in relation to his or her other assets and is concentrated in one or a few companies or industries, the names of the entities or industries and the estimated current values of the securities
- g. If the person has a material investment in a closely held business, at least the following:
 1. The name of the entity and the person's percentage of ownership
 2. The nature of the business
 3. Summarized financial information about assets, liabilities, and results of operations for the most recent year based on the financial statements of the business, including information about the basis of presentation (for example, generally accepted accounting principles, income tax basis, or cash basis) and any significant loss contingencies.
- h. Descriptions of intangible assets and their estimated useful lives
- i. The face amount of life insurance the individuals own
- j. Nonforfeitable rights that do not have the characteristics discussed in paragraph 274-10-35-11, for example, pensions based on life expectancy
- k. All of the following tax information:
 1. The methods and assumptions used to compute the estimated income taxes on the differences between the estimated current values of assets and the estimated current amounts of liabilities and their tax bases
 2. A statement that the provision will probably differ from the amounts of income taxes that might eventually be paid because those amounts are determined by the timing and the method of disposal, realization, or liquidation and the tax laws and regulations in effect at the time of disposal, realization, or liquidation
 3. Unused operating loss and capital loss carryforwards
 4. Other unused deductions and credits, with their expiration periods, if applicable
 5. The differences between the estimated current values of major assets and the estimated current amounts of major liabilities or categories of assets and liabilities and their tax bases
 6. The excess or deficit of the estimated current values of major assets or categories of assets over their tax bases.
- l. Maturities, interest rates, collateral, and other pertinent details relating to receivables and debt

m. Noncancellable commitments that do not have the characteristics discussed in paragraph 274-10-35-13.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

· > Estimated Current Value

274-10-55-1 This implementation guidance addresses estimating current value. Recent transactions involving similar assets and liabilities in similar circumstances ordinarily provide a satisfactory basis for determining the estimated current value of an asset and the estimated current amount of a liability. If recent sales information is unavailable, other methods that may be used include any of the following:

- The capitalization of past or prospective earnings
- The use of liquidation values
- The adjustment of historical cost based on changes in a specific price index
- The use of appraisals
- The use of the discounted amounts of projected cash receipts and payments.

274-10-55-2 Costs of disposal, such as commissions, shall be considered in determining the estimated current value of an asset. The book value or cost of a person's share of the equity of a business adjusted for appraisals of specific assets, such as real estate or equipment, is sometimes used as the estimated current value.

274-10-55-3 In determining the estimated current values of some assets (for example, works of art, jewelry, restricted securities, investments in closely held businesses, and real estate), the person may need to consult a specialist.

· · > Investment in a Closely Held Business

274-10-55-4 There is no one generally accepted procedure for determining the estimated current value of an investment in a closely held business. Several procedures or combinations of procedures may be used to determine the estimated current value of a closely held business, including any of the following:

- A multiple of earnings

- b. Liquidation value
- c. Reproduction value
- d. Appraisals
- e. Discounted amounts of projected cash receipts and payments
- f. Adjustments of book value or cost of the person's share of the equity of the business.

The book value or cost of a person's share of the equity of a business adjusted for appraisals of specific assets, such as real estate or equipment, is sometimes used as the estimated current value.

274-10-55-5

The owner of an interest in a closely held business may have entered into a buy-sell agreement that specifies the amount (or the basis of determining the amount) to be received in the event of withdrawal, retirement, or sale. If such an agreement exists, it shall be considered, but it does not necessarily determine estimated current value. Whatever procedure is used, the objective shall be to approximate the estimated current value.

· · > Real Estate (Including Leaseholds)

274-10-55-6

Information that may be used in determining the estimated current values of investments in real estate (including leaseholds) includes any of the following:

- a. Sales of similar property in similar circumstances
- b. The discounted amounts of projected cash receipts and payments relating to the property or the net realizable value of the property, based on planned courses of action, including leaseholds whose current rental value exceeds the rent in the lease
- c. Appraisals based on estimates of selling prices and selling costs obtained from independent real estate agents or brokers familiar with similar properties in similar locations
- d. Appraisals used to obtain financing
- e. Assessed value for property taxes, including consideration of the basis for such assessments and their relationship to market values in the area.

· · > Future Interests and Similar Assets

274-10-55-7

This paragraph provides implementation guidance on the application of paragraph 274-10-35-11. Nonforfeitable rights that may have those characteristics include all of the following:

- a. Guaranteed minimum portions of pensions
- b. Vested interests in pension or profit sharing plans
- c. Deferred compensation contracts
- d. Beneficial interests in trusts
- e. Remainder interests in property subject to life estates
- f. Annuities
- g. Fixed amounts of alimony for a definite future period.

> Illustrations

· > Example 1: Illustrative Financial Statements

274-10-55-8

This Example illustrates financial statements prepared following the guidance in this Subtopic.

· · > Statement of Financial Condition

274-10-55-9

Illustrative statements of financial condition follow.

James and Jane Person
Statements of Financial Condition
December 31, 19X3 and 19X2

	December 31	
	19X3	19X2
Assets		
Cash	\$ 3,700	\$ 15,600
Bonus receivable	20,000	10,000
Investments		
Marketable securities (Note 2)	160,500	140,700
Stock options (Note 3)	28,000	24,000
Kenbruce Associates (Note 4)	48,000	42,000
DaveKar Company, Inc. (Note 5)	550,000	475,000
Vested interest in deferred profit sharing plan	111,400	98,900
Remainder interest in testamentary trust (Note 6)	171,900	128,800
Cash value of life insurance (\$43,600 and \$42,900), less loans payable to insurance companies (\$38,100 and \$37,700) (Note 7)	5,500	5,200
Residence (Note 8)	190,000	180,000
Personal effects (excluding jewelry) (Note 9)	55,000	50,000
Jewelry (Note 9)	40,000	36,500
	<u>\$ 1,384,000</u>	<u>\$ 1,206,700</u>
	December 31	
	19X3	19X2
Liabilities		
Income taxes - current year balance	\$ 8,800	\$ 400
Demand 10.5% note payable to bank	25,000	26,000
Mortgage payable (Note 10)	98,200	99,000
Contingent liabilities (Note 11)	-	-
	<u>132,000</u>	<u>125,400</u>
Estimated income taxes on the differences between the estimated current value of assets and the estimated current values of liabilities and their tax bases (Note 12)	239,000	160,000
Net worth	<u>1,013,000</u>	<u>921,300</u>
	<u>\$ 1,384,000</u>	<u>\$ 1,206,700</u>

The accompanying notes to financial statements (see paragraph 274-10-55-11) are an integral part of these financial statements.

· · > Statements of Changes in Net Worth

274-10-55-10 Illustrative statements of changes in net worth follow.

James and Jane Person
Statements of Changes in Net Worth
For the Years Ended December 31, 19X3 and 19X2

	Year ended December 31	
	19X3	19X2
Realized increases in net worth		
Salary and bonus	\$ 95,000	\$ 85,000
Dividends and interest income	2,300	1,800
Distribution from limited partnership	5,000	4,000
Gains on sales of marketable securities	1,000	500
	<u>103,300</u>	<u>91,300</u>
Realized decreases in net worth		
Income taxes	26,000	22,000
Interest expense	13,000	14,000
Real estate taxes	4,000	3,000
Personal expenditures	36,700	32,500
	<u>79,700</u>	<u>71,500</u>
Net realized increase in net worth	<u>23,600</u>	<u>19,800</u>
Unrealized increases in net worth		
Marketable securities (net of realized gains on securities sold)	3,000	500
Stock options	4,000	500
Davekar Company, Inc.	75,000	25,000
Kenbruce Associates	6,000	-
Deferred profit sharing plan	12,500	9,500
Remainder interest in testamentary trust	43,100	25,000
Jewelry	3,500	-
	<u>147,100</u>	<u>60,500</u>
Unrealized decrease in net worth		
Estimated income taxes in the differences between the estimated current values of assets and the estimated current amounts of liabilities and their tax bases	79,000	22,000
Net unrealized increase in net worth	<u>68,100</u>	<u>38,500</u>
Net increase in net worth	<u>91,700</u>	<u>58,300</u>
Net worth at the beginning of year	<u>921,300</u>	<u>863,000</u>
Net worth at the end of year	<u>\$ 1,013,000</u>	<u>\$ 921,300</u>

The accompanying notes to financial statements (see paragraph 274-10-55-11) are an integral part of these financial statements.

· · > Notes to Financial Statements

274-10-55-11 Illustrative notes to financial statements follow.

James and Jane Person—Notes to Financial Statements

NOTE 1. The accompanying financial statements include the assets and liabilities of James and Jane Person. Assets are stated at their estimated current values, and liabilities at their estimated current amounts.

NOTE 2. The estimated current values of marketable securities are either (a) their quoted closing prices or (b) for securities not traded on the financial statement date, amounts that fall within the range of quoted bid and ask prices.

Marketable securities consist of the following:

	December 31, 19X3		December 31, 19X2	
	Number of shares or bonds	Estimated current values	Number of shares or bonds	Estimated current values
Stocks				
Jaiven Jewels, Inc.	1,500	\$ 98,813	-	\$ -
McRae Motors, Inc.	800	11,000	600	4,750
Parker Sisters, Inc.	400	13,875	200	5,200
Rosenfield Rug Co.	-	-	1,200	96,000
Rubin Paint Company	300	9,750	100	2,875
Weiss Potato Chips, Inc.	200	20,337	300	25,075
		<u>153,775</u>		<u>133,900</u>
Bonds				
Jackson Van Lines, Ltd. (12% due 7/1/X9)	5	5,225	5	5,100
United Garvey, Inc. (7% due 11/15/X6)	2	1,500	2	1,700
		<u>6,725</u>		<u>6,800</u>
		<u>\$ 160,500</u>		<u>\$ 140,700</u>

NOTE 3. Jane Person owns options to acquire 4,000 shares of stock of Winner Corp. at an option price of \$5 per share. The option expires on June 30, 19X5. The estimated current value is its published selling price.

NOTE 4. The investment in Kenbruce Associates is an 8 percent interest in a real estate limited partnership. The estimated current value is determined by the projected annual cash receipts and payments capitalized at a 12 percent rate.

NOTE 5. James Person owns 50 percent of the common stock of Davekar Company, Inc. a retail mail order business. The estimated current value of the investment is determined by the provisions of a shareholders' agreement, which restricts the sale of the stock and, under certain conditions, requires the entity to repurchase the stock based on a price equal to the book value of the net assets plus an agreed amount for goodwill. At December 31, 19X3, the agreed amount for goodwill was \$112,500, and at December 31, 19X2, it was \$100,000.

A condensed balance sheet of Davekar Company, Inc. prepared in conformity with generally accepted accounting principles, is summarized below:

	December 31,	
	19X3	19X2
Current assets	\$ 3,147,000	\$ 2,975,000
Plant, property and equipment - net	165,000	145,000
Other assets	120,000	110,000
Total assets	<u>\$ 3,432,000</u>	<u>\$ 3,230,000</u>
Current liabilities	\$ 2,157,000	\$ 2,030,000
Long-term liabilities	400,000	450,000
Total liabilities	<u>2,557,000</u>	<u>2,480,000</u>
Equity	<u>875,000</u>	<u>750,000</u>
Total Liabilities and Equity	<u>\$ 3,432,000</u>	<u>\$ 3,230,000</u>

The sales and net income for 19X3 were \$10,500,000 and \$125,000 and for 19X2 were \$9,700,000 and \$80,000.

NOTE 6. Jane Person is the beneficiary of a remainder interest in a testamentary trust under the will of the late Joseph Jones. The amount included in the accompanying statements is her remainder interest in the estimated current value of the trust assets, discounted at 10 percent.

NOTE 7. At December 31, 19X3 and 19X2, James Person owned a \$300,000 whole life insurance policy.

NOTE 8. The estimated current value of the residence is the appraised value based on an estimate of selling price, net of estimated selling costs obtained from an independent real estate agent familiar with similar properties in similar locations.

NOTE 9. The estimated current values of personal effects and jewelry are the appraised values of those assets, determined by an independent appraiser for insurance purposes.

NOTE 10. The mortgage (collateralized by the residence) is payable in monthly installments of \$815 a month, including interest at 10 percent a year through 20Y8.

NOTE 11. James Person has guaranteed the payment of loans of Davekar Company, Inc., under a \$500,000 line of credit. The loan balance was \$300,000 at December 31, 19X3, and \$400,000 at December 31, 19X2.

NOTE 12. The estimated current amounts of liabilities at December 31, 19X3, and December 31, 19X2, equaled their tax bases. Estimated income taxes have been provided on the excess of the estimated current values of assets over their tax bases as if the estimated current values of the assets had been realized on the statement date, using applicable tax laws and regulations. The provision will probably differ from the amounts of income taxes that eventually might be paid because those amounts are determined by the timing and the method of disposal or realization and the tax laws and regulations in effect at the time of disposal or realization.

The estimated current values of assets exceeded their tax bases by \$850,000 at December 31, 19X3, and by \$770,300 at December 31, 19X2. The excess of estimated current values of major assets over their tax bases are:

	December 31,	
	19X3	19X2
Investment in Davekar Company, Inc.	\$ 430,500	\$ 355,500
Vested interest in deferred profit sharing plan	111,400	98,900
Investment in marketable securities	104,100	100,000
Remainder interest in testamentary trust	97,000	53,900

· · > Example 2: Computing the Excess of Values over Tax Bases and Related Taxes

- 274-10-55-12

This Example illustrates how to compute the excess of the estimated current values of assets over their tax bases and the provision for estimated income taxes on the excess. This Example uses the same information as in the illustrative financial statements in Example 1 (see paragraph 274-10-55-8). The provision for estimated income taxes should also reflect tax consequences that result from differences between the estimated current amounts of liabilities and their tax base.
- 274-10-55-13

Paragraph 274-10-50-2(k)(6) requires that the excess or deficit of the estimated current values of major assets or categories of assets over their tax bases be disclosed. That paragraph also requires that differences between the estimated current amounts of major liabilities or categories of liabilities and their tax bases also be disclosed. Paragraph 274-10-45-12 requires that the amount of estimated income taxes be presented in the statement of financial condition between liabilities and net worth.
- 274-10-55-14

The assumptions and the tax basis information used in computing the excess of the estimated current values of assets over their tax bases and the estimated income taxes on the excess depend on the facts, circumstances, tax laws and regulations, and assumptions that apply to the individual or individuals for whom the financial statements are prepared. The facts, circumstances, tax laws and regulations, and assumptions used in the following are illustrative only.

Description	(Column 1) Estimated current values	(Column 2) Tax bases	Excess of (1) over (2)	Effective income tax rates	Amount of estimated income taxes	Assumptions used
Cash	\$ 3,700	\$ 3,700	-	-	-	No tax effect
Bonus receivable	20,000	-	\$ 20,000	50%	\$ 10,000	Maximum tax rate
Investments						
Market securities	160,500	56,400	104,100	36%	37,500	Weighted average of short-term and long-term capital gain rates based on composition of portfolio
Stock options	28,000	20,000	8,000	50%	4,000	Short-term capital gain rate
Kenbruce Associates	48,000	24,000	24,000	38%	9,100	Weighted average of short-term and long-term capital gain rates
Davekar Company, Inc.	550,000	119,500	430,500	20%	86,100	Long-term capital gain rate
Vested interest in deferred profit sharing plan	111,400	-	111,400	50%	55,700	Maximum tax rate
Remainder interest in testamentary trust	171,900	74,900	97,000	26%	25,200	Weighted average of short-term and long-term capital gain rates
Cash value of life insurance	5,500	5,500	-	-	-	No tax effect
Residence	190,000	190,000	-	-	-	No tax effect
Personal effects	55,000	30,000	25,000	20%	5,000	Long-term capital gain rate
Jewelry	40,000	10,000	30,000	20%	6,000	Long-term capital gain rate
	<u>\$ 1,384,000</u>	<u>\$ 534,000</u>	<u>\$ 850,000</u> ^(a)		<u>\$ 239,000</u> ^(b)	

(a) The excess or deficit of the estimated current values of major assets or categories of assets over their tax bases shall be disclosed.
(b) This amount shall be presented in the statement of financial condition between liabilities and net worth.

65 Transition and Open Effective Date Information

General Note: The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

274-10-65-1 Paragraph superseded on 07/05/2017 after the end of the transition period stated in Accounting Standards Update No. 2015-10, *Technical Corrections and Improvements*.